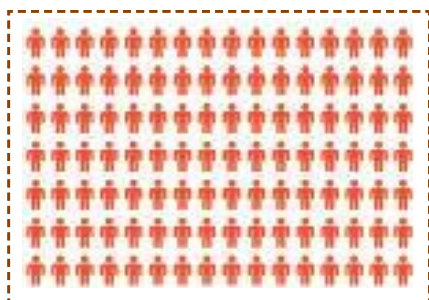


Market Size Study

The market size of an industry is the total size of the market (in value terms or volume terms) of the customers who buy the industry's product or service in a given period. It is the total revenue or sale, in value terms, of all the players in the industry. It helps understand the attractiveness of an industry by identifying the size of the opportunity. How big can a company become?

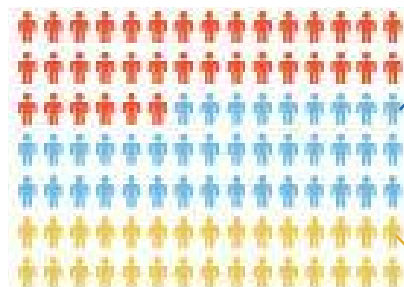
Market size can be identified by three elements.

$$\text{Market size} = \text{Population} \times \text{Adoption Ratio} \times \text{Penetration Ratio}$$



Population

It refers to the total number of people within the geographical boundaries. The population is the total number of people, and each person can be a potential customer of the industry. However, not all products are needed by every person.



Population



Penetration Ratio



Adoption Ratio

Adoption Ratio

It refers to the number of people out of the total population who may use the industry, products i.e. they have a need for the same.

Penetration Ratio

It refers to the percentage of potential customers who are currently being serviced by the players in the industry.